

Term paper

FIE401

Candidates: 251, 269, 275, 380

May 11, 2026

NHH



Contents

1	Abstract	2
2	Intro	3
3	Data	4
4	Analysis	5
5	Conclusion	7

1 Abstract

2 Intro

3 Data

4 Analysis

Table 4.1: Table 1A: Summary Statistics - SMI

	n	mean	median	sd	min	max
spread	16,588	3.982	3.324	2.988	0	44.124
log_mcap	16,588	3.356	3.165	0.975	1.459	5.659
turnover	16,588	0.902	0.721	0.665	0.119	7.112
btm	16,588	0.527	0.349	0.507	0.058	2.892
leverage	16,588	1.211	0.600	1.437	0	6.012

Table 4.2: Table 1B: Summary Statistics - CAC40/DAX30

	n	mean	median	sd	min	max
spread	61,622	21.340	11.585	23.501	0	123.454
log_mcap	61,622	3.146	3.100	0.991	0.836	5.659
turnover	61,622	0.553	0.315	0.965	0	7.112
btm	61,622	0.895	0.536	1.044	0.058	6.598
leverage	61,622	1.317	0.778	1.473	0	8.353

Table 4.3: Table 2: Pre-period Comparison — SMI vs. CAC40/DAX30

	Spread	log(Mcap)	Turnover	BTM	Leverage (D/E)
	(1)	(2)	(3)	(4)	(5)
SMI	-18.962*** (2.460)	0.130 (0.232)	0.382*** (0.122)	-0.332** (0.143)	-0.082 (0.324)
Pre-period	Yes	Yes	Yes	Yes	Yes
Cluster SE	By stock	By stock	By stock	By stock	By stock
Observations	12,641	12,641	12,641	12,641	12,641
R ²	0.106	0.003	0.033	0.025	0.001
Adjusted R ²	0.106	0.003	0.033	0.025	0.001

Note:

*p<0.1; **p<0.05; ***p<0.01

Table 4.4: Table 3: Effect of Market Consolidation and Re-fragmentation on Stock Liquidity

	<i>Dependent variable:</i>			
	Bid-Ask Spread			
	(1)	(2)	(3)	(4)
SMI x Post	1.582 (1.344)	2.812 (1.347)		
SMI x Consolidated			1.555 (1.339)	2.493 (1.335)
SMI x Re-fragmented			3.890 (1.627)	4.081 (1.663)
log(Mcap)		-10.441 (3.157)		-8.117 (2.375)
Turnover		-3.304 (0.662)		-2.615 (0.562)
BTM		1.866 (3.072)		1.243 (2.654)
Leverage (D/E)		-0.145 (0.885)		-0.215 (0.831)
Sample	Pre + consolidated	Pre + consolidated	Full	Full
Controls	No	Yes	No	Yes
Observations	54432	54432	78210	78210
Stock FE	Yes	Yes	Yes	Yes
Day FE	Yes	Yes	Yes	Yes
Cluster SE	By stock	By stock	By stock	By stock
Adjusted R ²	-0.011	0.018	-0.009	0.013

*Note:**p_i0.1; **p_i0.05; ***p_i0.01

5 Conclusion